

development of the necessary MRV (Monitoring, Reporting, and Verification) systems and infrastructure. Establishing scope in Stage I will provide the regulatory certainty needed for stakeholders to prepare for reporting and compliance obligations. Sectoral stakeholders and relevant government agencies should be involved in this definition process.

- **The implementation of SBCE obligations will be phased in progressively but mapped long-term.** Prioritizing sectors with established emissions monitoring systems will enable gradual integration while maintaining regulatory stability. The Management Body should oversee this process, ensuring a predictable transition for affected industries.

Building Block 8: Commitment and Compliance Periods – Priority Activities

- **Commitment periods defined to provide market certainty.** Establishing the duration of the National Allocation Plans (NAPs) will affect long-term investment planning and policy stability. The CIM and Management Body should determine these periods in alignment with Brazil's climate targets.
- **Compliance cycles will include clear reporting, verification, and enforcement requirements.** Regulated entities should have transparent obligations for emissions reporting and reconciliation of allowances. The Management Body should ensure consistency with the compliance cycles of international MRV (Monitoring, Reporting, and Verification) practices, while considering the resources needed for their implementation.

Building Block 9: Cap Setting – Priority Activities

- **A transparent and science-based methodology for setting emissions caps.** Caps should align with Brazil's decarbonization objectives while allowing for economic flexibility. Stakeholder consultation and regular reviews will be key to maintaining environmental integrity and feasibility.
- **The SBCE's initial will likely be defined during Stage III to meet regulatory deadlines.** Although emissions data may still be evolving, the first National Allocation Plan (NAP) must be approved 12 months before its validity period at the start of Stage IV. This means that cap-setting decisions must be finalized within the first year of Stage III, primarily using a top-down approach based on national statistics.
- **Rules for banking allowances across commitment periods will provide market certainty and clarity.** Allowing the carryover of allowances should be balanced to prevent market distortions while encouraging early emissions reductions. The Management Body should establish these rules with input from financial regulators and consider a conservative approach for the first NAP, while the system is consolidated.
- **A process for regular adjustments of the SBCE will be established, based on emissions data and market conditions.** Periodic reviews will ensure that the cap reflects technological advancements, economic trends, and policy developments. The Management Body should establish this process with guidance from sectoral regulators.